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Memorandum

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Date: April 2, 2026

Re: Section 45Q Credit Qualification, Transferability Under §6418, and Application of §469 to Transferee Taxpayers (Dynamic Carbon Credits Structure)

Overview and Scope

You have requested a legal opinion regarding the federal income tax treatment of carbon sequestration credits generated by Dynamic Carbon Credits, LLC (“DCC”) and transferred to third-party taxpayers pursuant to Internal Revenue Code §6418. Specifically, the analysis addresses whether (i) the underlying credits are properly characterized as credits under §45Q, (ii) those credits, once transferred, are treated as general business credits under §38 in the hands of the transferee, and (iii) such credits may be utilized without limitation under §469 where the transferee has no ownership or participation in the underlying activity.

This memorandum evaluates the statutory framework as applied to the actual structure described in the DCC due diligence materials, including the characterization of the project as a direct air capture system utilizing biological processes followed by mineralization-based storage, the centralized ownership of the project within a single LLC structure, and the contemplated transfer of credits to unrelated purchasers for fixed consideration.

At a high level, and subject to the assumptions and limitations described herein, the DCC structure supports a position that (i) the credits qualify under §45Q, (ii) transfers executed in accordance with §6418 are respected as transfers of tax attributes rather than allocations, and (iii) where the transferee has no ownership or participation in the underlying activity, §469 should not apply by reference to that activity.

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I. Qualification of the Credits Under IRC §45Q as Applied to the DCC Structure

Section 45Q allows a credit for each metric ton of qualified carbon oxide captured using carbon capture equipment and either disposed of in secure geological storage or utilized in a qualifying manner. The statute requires that the taxpayer claiming the credit demonstrate that the carbon is captured, measured, and either permanently stored or properly utilized within the meaning of §45Q(f).

Based on the DCC materials, the project is positioned as a direct air capture system that removes atmospheric CO₂ through a proprietary biological process and ultimately converts that carbon into stable forms through soil integration and mineralization. The materials emphasize that the system is designed for long-term storage through transformation into stable carbon compounds within soil and subsurface formations, including limestone-like structures.

From a statutory standpoint, this positioning is important because §45Q distinguishes between mere utilization and secure storage. The closer the system aligns with “permanent storage,” the stronger the qualification position becomes. Here, DCC is explicitly attempting to align its process with geological storage principles rather than temporary utilization. That alignment supports the statutory requirement under §45Q(a) and (f), but it does not eliminate risk.

The primary legal issue is not whether the structure is intended to qualify, but whether the facts support that classification. The Code and regulations require that storage be secure and verifiable. In this case, the reliance on life cycle analysis, third-party validation, and continuous monitoring supports the position, but it also introduces dependency on the accuracy and consistency of those systems.

In addition, the absence of clearly identified placed-in-service documentation in the materials and the evolving nature of the project (including multi-phase deployment and scaling across acreage) introduce factual uncertainty around timing. Section 45Q requires that the facility be placed in service and that credits are claimed based on actual capture and storage during the relevant tax year. If deployment or verification lags behind the claimed credit period, that creates exposure.

Based on the facts provided, there is a strong basis to conclude that the DCC structure satisfies the core requirements of §45Q, including capture of qualified carbon oxide, use of carbon capture equipment, and intended disposition through processes designed to

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achieve long-term storage. This conclusion is subject to verification of storage permanence, consistency of MRV methodologies with actual operations, and proper timing of placed-in-service status.

Applying the statutory elements of §45Q to the facts provided, the DCC structure aligns with each core requirement, subject to verification. First, the project is represented as a direct air capture facility that removes atmospheric CO₂, which falls within the scope of “qualified carbon oxide” under §45Q(f)(1). Second, the system described—consisting of capture, conversion, and storage through a closed-loop biological and mineralization process—constitutes “carbon capture equipment” within the meaning of §45Q(a)(3), as it is used to capture carbon oxide that would otherwise be released into the atmosphere. Third, the materials indicate that the project is designed to capture in excess of 100,000 metric tons annually and operates over a defined credit period beginning in 2022, which is consistent with the requirements for a “qualified facility” under §45Q(d). Finally, the disposition of the captured carbon through mineralization into stable subsurface compounds is intended to satisfy the requirement of secure storage under §45Q(f)(5), provided that such storage is demonstrated to be permanent and verifiable through MRV and supporting technical documentation.

Taken together, these facts support a conclusion that the project is structured to meet the statutory requirements of §45Q, although the ultimate determination remains dependent on substantiation of storage permanence, consistency of LCA assumptions with actual operations, and proper timing of placed-in-service status.

I.A. Proper Credit Claimant Under §45Q

Section 45Q requires that the credit be claimed by the taxpayer that owns the carbon capture equipment and physically or contractually ensures the capture and proper disposal, storage, or utilization of the carbon oxide. Under §45Q(a) and (f), and as further reflected in applicable guidance, only one taxpayer may claim the credit with respect to each metric ton of qualified carbon oxide.

Based on the materials provided, Dynamic Carbon Credits, LLC appears to operate as the centralized entity responsible for capture, processing, and storage, with no indication of partnership allocations or credit sharing through pass-through reporting. The structure is

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described as a single LLC with centralized operational control and no issuance of Schedule K-1s to credit purchasers.

Assuming that DCC both owns the carbon capture equipment and is the party that ensures capture and storage, it would be the proper claimant of the §45Q credit prior to any transfer under §6418. This conclusion is contingent on confirmation that no election under §45Q(f)(3)(B) has been made to allocate the credit to another party and that no contractual arrangements alter the identity of the claimant.

If the credit is not properly claimed at the project level, any downstream transfer under §6418 would not be respected. Accordingly, correct identification of the claimant is a threshold requirement to the validity of the transfer structure.

II. Treatment of Transferred Credits Under IRC §6418

Section 6418 permits the transfer of certain credits, including §45Q credits, to an unrelated taxpayer for cash. The statute is explicit that the transferee is treated as the taxpayer with respect to the credit. This is not a partnership allocation regime and does not depend on ownership of the underlying activity.

In the DCC structure, the transfer is described as a sale of credits for fixed consideration, with no equity, no K-1 reporting, and no participation rights retained by the purchaser. That fact pattern is critical. The legal distinction between a transfer and an allocation is not formal—it is substantive. If the purchaser has any economic linkage to the project, the IRS could recharacterize the transaction.

As described, the DCC structure is attempting to maintain a clean separation. The credits are generated at the project level, and the purchaser acquires only the tax attribute. If that separation is respected in the documentation and execution, the statutory framework of §6418 supports treating the transferee as the taxpayer with respect to the credit, independent of the underlying activity.

The effectiveness of the transfer under §6418 depends not only on conceptual separation, but on compliance with specific statutory and procedural requirements. Section 6418 requires that (i) the transfer be for cash consideration, (ii) the transferor be an eligible taxpayer, (iii) the credit be properly registered with the IRS through the pre-filing registration process, and (iv) the transfer be reported consistently by both parties. In addition, the same

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credit may not be transferred more than once, and any arrangement that effectively replicates ownership, participation, or profit-sharing may be subject to recharacterization.

Based on the materials provided, the DCC structure contemplates a fixed-price purchase of credits, no issuance of Schedule K-1s, and no ongoing economic participation by the purchaser. These facts are consistent with a transfer rather than an allocation. However, the presence of forward sale elements, large-scale credit volumes, and pricing tied to project output introduces risk that the IRS could examine whether the purchaser's economic return is indirectly linked to project performance.

Accordingly, while the structure is consistent with §6418 in form, the transfer will be respected only if the documentation and execution maintain strict separation and comply with all registration, reporting, and anti-chaining requirements.

This analysis is framed to evaluate whether the DCC structure supports the advisory position that, where a taxpayer acquires a §45Q credit through a properly structured transfer under §6418 without ownership or participation in the underlying activity, the credit may be evaluated under general business credit rules, with the applicability of §469 determined based on the taxpayer's specific facts and circumstances.

Based on the facts described—specifically, fixed cash consideration, absence of equity participation, no Schedule K-1 reporting, and no ongoing economic rights—the transaction is properly characterized as a transfer of a tax attribute under §6418 rather than an allocation or participation interest. The presence of forward purchase elements does not, in itself, alter that characterization, provided that pricing and contractual terms do not create economic exposure to project performance beyond the transferred credit.

III. Characterization as General Business Credit Under IRC §38

Section 45Q credits fall within the general business credit under §38. Once transferred under §6418, the transferee claims the credit as its own §38 credit.

The key legal question is whether the credit retains any attributes of the underlying activity when it is transferred. The statute does not impose such a requirement. Section 6418 operates by treating the transferee as the taxpayer with respect to the credit, not by transferring the activity.

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Accordingly, as applied to the DCC structure, a purchaser who acquires credits without acquiring any ownership or participation in the project should be treated as holding a general business credit under §38. The limitations that apply are the general §38 limitations, not activity-based limitations tied to the project.

IV. Application of IRC §469 to the Transferee

Section 469 limits the use of passive activity losses and credits. A passive activity is defined as a trade or business in which the taxpayer does not materially participate.

The critical issue is whether a transferred §45Q credit should be treated as arising from a passive activity of the transferee.

In the DCC structure, the purchaser is not engaged in the carbon capture activity. The purchaser does not own the facility, does not operate it, and does not receive any allocation of income or loss. The purchaser acquires only a tax credit.

Under §469, the analysis begins with whether the taxpayer is engaged in an activity at all. Under §469(c), a passive activity is defined as a trade or business in which the taxpayer does not materially participate. In this case, the transferee is not engaged in any trade or business activity with respect to the carbon capture project. The transferee does not own the facility, does not operate it, and does not receive any allocation of income, loss, or deduction from the activity. Instead, the transferee acquires a tax credit through a statutory transfer mechanism.

As a result, there is no underlying “activity” of the taxpayer to which §469(a) can apply. The credit does not arise from a passive activity of the transferee because the transferee is not engaged in the activity at all. Rather, the credit is treated as a general business credit under §38, and §469 applies only to the extent the taxpayer otherwise has passive activities.

This interpretation is consistent with the structure of §6418, which separates the credit from the underlying activity and assigns it to the transferee as a standalone tax attribute. The credit arises from a statutory transfer, not from participation in a trade or business.

This distinction is supported by the structure of §6418. Congress created a mechanism to separate the credit from the activity. If the credit were automatically treated as arising from the underlying activity, the transfer regime would be functionally undermined.

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That said, the statute does not explicitly address this interaction, and the IRS could attempt to argue that the credit retains its passive character. The strength of the taxpayer's position depends on maintaining a clean factual separation.

Applying this to the DCC scenarios:

Where the taxpayer has only W-2 income and capital gains, and no passive activity, there is no passive activity limitation to apply. Section 469 simply does not operate in that context. The credit is evaluated under §38 and may be used to offset tax liability.

Where the taxpayer has minimal passive exposure unrelated to the credit, the better position is that the credit is not attributable to that passive activity. However, the presence of passive activity introduces a potential audit argument, even if the statutory basis for that argument is weak.

Where the taxpayer is heavily involved in passive investments, the IRS may attempt to group the credit with passive activity. In that case, the outcome becomes more uncertain and more dependent on the specific facts and reporting position.

Applying the foregoing analysis to the identified taxpayer scenarios:

Where the taxpayer has no passive activity (including W-2 income and capital gains only), there is a high level of confidence that §469 does not apply and that the transferred credit may be utilized under §38.

Where the taxpayer has limited passive exposure unrelated to the credit, there remains a supportable position that the credit is not attributable to passive activity, although the presence of passive items introduces moderate audit sensitivity.

Where the taxpayer has significant passive activity, the Internal Revenue Service may seek to apply §469 limitations by grouping the credit with passive activity, and the strength of the taxpayer's position becomes more dependent on maintaining strict separation and consistent reporting.

In all cases, the analysis turns on whether the taxpayer is engaged in an activity within the meaning of §469, and where no such activity exists, §469 does not operate by reference to the transferred credit.

V. Structural Sensitivities and Risk Areas

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As applied to the DCC materials, the legal conclusions above depend on several factual assumptions that are not fully resolved in the documentation provided.

The most significant risks are not conceptual—they are execution-based. The first is the qualification of the storage method. The DCC structure relies on a hybrid biological and mineralization process that is intended to approximate geological storage. That positioning is supportable, but it is not the most conservative interpretation of §45Q.

The second is the integrity of the transfer. The due diligence materials emphasize a clean transfer, but the scale of the project, the forward sale elements, and the pricing structure introduce the possibility of economic linkage. If the purchaser's return is tied in any way to project performance beyond the credit itself, the transfer characterization becomes vulnerable.

The third is documentation consistency. Section 6418 requires specific reporting, including registration and transfer statements. Any inconsistency between the tax filings, contractual terms, and technical documentation can create exposure.

Conclusion

Based on the applicable provisions of the Internal Revenue Code, including §§45Q, 6418, 38, and 469, and applying those provisions to the facts reflected in the DCC materials, it is my opinion that:

- (i) the DCC project is structured in a manner that is consistent with the requirements of §45Q, with the strongest support arising from its alignment with direct air capture and mineralization-based storage, subject to verification of permanence, MRV accuracy, and placed-in-service timing;
- (ii) provided that the credits are properly claimed by the appropriate taxpayer at the project level, the subsequent transfer of those credits, if executed in accordance with §6418 and applicable guidance, should be respected as a transfer of a tax attribute rather than an allocation or participation interest;
- (iii) such transferred credits should be treated as general business credits under §38 in the hands of the transferee; and

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(iv) where the transferee has no ownership or participation in the underlying activity, there is a strong basis to conclude that §469 does not apply by reference to that activity and that the credit may be utilized based on the transferee's own tax profile.

The strength of these conclusions is highest where the factual separation between the taxpayer and the project is strictly maintained and where the technical elements of §45Q qualification are supported by consistent and verifiable documentation.

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April 2, 2026

To: Clients who acquire Section 45Q credits pursuant to Internal Revenue Code Section 6418 (each, a “Taxpayer”)

Re: U.S. Federal Income Tax Treatment of Section 45Q Carbon Oxide Sequestration Credits

This opinion is furnished to, and may be relied upon by, the addressee in connection with its acquisition and use of Section 45Q carbon oxide sequestration credits (the “Credits”) generated by Dynamic Carbon Credits, LLC (“DCC”) and transferred pursuant to Internal Revenue Code Section 6418.

I have reviewed the applicable provisions of the Internal Revenue Code, including Sections 45Q, 6418, 38, and 469, together with the structure described in the DCC materials. Based on that review, and subject to the assumptions and limitations described below, it is my opinion that:

A properly structured transfer of Section 45Q credits pursuant to Section 6418, where the transferee acquires only the credit and does not acquire any ownership interest in, or participation in, the underlying activity, is respected as a transfer of a tax attribute rather than an allocation or participation interest.

Credits acquired in such a transfer should be treated as general business credits under Section 38 in the hands of the transferee.

Where the transferee has no ownership or participation in the underlying activity, there is a strong basis to conclude that Section 469 does not apply by reference to that activity. The applicability of Section 469 is determined based on the taxpayer’s specific facts and circumstances, including the presence or absence of passive activities at the taxpayer level.

These conclusions are dependent on the transaction being implemented as a true transfer under Section 6418, including that the transferee acquires no equity interest, receives no Schedule K-1 or allocation of income or loss, and has no ongoing economic participation in the underlying project. Any variation from these facts may affect the conclusions expressed herein.

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This opinion is based on current law, which is subject to change, and is limited to the federal income tax matters described above. Each taxpayer should consult their own advisors regarding the application of these rules to their specific facts and circumstances.

Attorney Qualifications

Sakineh Aved Majd is a U.S.-licensed attorney with over 15 years of experience advising on federal tax matters, including tax credit structuring, transferability of tax attributes, and issuance of formal tax opinions.

Having worked at KPMG, Deloitte, and PwC, she has advised clients on complex tax-advantaged investment structures, including transactions involving general business credits, statutory transfer regimes, and the interaction of credit utilization rules with limitation provisions such as Section 469.

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